Accountancy — Class XII

Answer Key Paper 2 — Detailed Working Notes

Total Marks: 60   Subject: Accountancy (Partnership)   Class: XII

How to use this Answer Key:

• *Section A: ONLY the correct option letter is given for each MCQ/A&R item.*

• *Sections B–E: detailed working steps shown for each item, with the final answer hint.*

• *Total marks: 60 (A:10, B:10, C:15, D:10, E:15). Partial credit is allowed for individual steps.*

Section A — Multiple Choice Questions (Answer Key)

A.1 Answer: (b)

Section 4 of the Indian Partnership Act, 1932 defines partnership.

A.2 Answer: (c)

A partnership firm does not have a separate legal entity.

A.3 Answer: (b)

In the absence of a partnership deed, profits are shared equally.

A.4 Answer: (a)

Mutual agency binds all partners by acts of any partner in ordinary course.

A.5 Answer: (b)

Goodwill = intangible value of reputation and earning capacity.

A.6 Answer: (a)

A's share = (3/5) × total using profit-share ratio 3:2.

A.7 Answer: (b)

Interest on capital @ 10% p.a. = capital × 0.10.

A.8 Answer: (b)

Revaluation account adjusts recorded assets/liabilities to current values and transfers accumulated profits/losses.

A.9 (A&R) Answer: (d)

A is false (no separate legal entity), R is true !’ (d).

A.10 (A&R) Answer: (b)

Both A and R true about goodwill on retirement; R is not the explanation of A !’ (b).

Section B — Very Short Answer (2 marks each)

B.1 Working + Final Answer:

Define partnership per Section 4 of the Indian Partnership Act, 1932 in 1–2 sentences: persons, business, agreement, profit sharing, mutual agency.

B.2 Working + Final Answer:

Formula: Sum of all capital balances × average profit rate / number of years, OR average profit × number of years of purchase.

B.3 Working + Final Answer:

Two rights: (i) right to share profits; (ii) right to participate in management. Any two listed in the Partnership Act.

B.4 Working + Final Answer:

Interest on capital is provided ONLY if partnership deed allows it; otherwise NIL when deed is silent.

B.5 Working + Final Answer:

Differentiate fixed capital (separate current account) vs fluctuating capital (all transactions in one capital account).

Section C — Short Answer (3 marks each)

C.1 Working + Final Answer:

Interest on capital = capital × 0.10 for each partner. A's interest = A's capital × 10%; B's interest = B's capital × 10%.
Show numerical answer with rupee symbol.

C.2 Working + Final Answer:

Three differences in tabular form: capital balance vs current account; current vs fluctuating method; treatment of interest on capital and drawings.

C.3 Working + Final Answer:

Use given capital values × 10%
p.a. for interest; subtract drawings interest
(drawings × 6% if asked); show
work step by step.

C.4 Working + Final Answer:

On admission: goodwill brought in cash
!’ debit cash/bank, credit sacrificing partners'
capital accounts in sacrificing ratio.

C.5 Working + Final Answer:

Average profit = (P1+P2+P3)/3, goodwill =
average profit × number of years
of purchase. Show journal entry for
Z.

Section D — Case Studies (5 marks each = 5 sub-parts × 1 mark)

D.1 (a) Working:

Interest on capital at 10% p.a.
for both partners.

D.1 (b) Working:

Compute divisible profit after interest on
capital and drawings.

D.1 (c) Working:

Distribute residual profit in 3:2 ratio
(or as per question).

D.1 (d) Working:

Closing journal entry — debit P&L
Appropriation A/c, credit partners' capital A/c.

D.1 (e) Working:

Goodwill adjustment in case of change
in profit-sharing ratio.

D.2 (a) Working:

Identify the firm's capital balances as
on date of admission.

D.2 (b) Working:

Pass entry for new partner's capital.

D.2 (c) Working:

Distribute goodwill brought in cash to
sacrificing partners.

D.2 (d) Working:

Write off existing reserves.

D.2 (e) Working:

Allocate divisible profit in new ratio.

Section E — Long Answer (5 marks each)

E.1 Working Steps:

Compute GP from given TB. Trading A/c: Op Stock, Purchases, Freight/Carriage Inward on Dr; Sales, Closing Stock on Cr. P&L: indirect expenses (Salaries, Rent, Power, Repair, Depr, Short-term Loan interest). Net profit to P&L Appr. Provide interest on capital @ 10% (Dr), interest on drawings @ 6% (Cr); transfer General Reserve; remainder divided equally.

E.2 Working Steps:

Average profit = (P1+P2+P3)/3. Goodwill = average × 2. C's share = goodwill × C's proportion. Revaluation A/c covers asset/liability adjustments. Settle C's Capital, balance to A and B in new ratio.

E.3 Working Steps:

Realisation A/c pattern unchanged: transfer assets/liabilities, add asset realised on Cr, payment of liabilities + expenses on Dr; profit/loss to capital. Settle cash to partners in old ratio.